In another scenario, let's say you paid off your mortgage on your home years ago but are somewhat strapped for cash so you borrow $400,000. You use $300,000 to improve your residence and $100,000 to pay your student loans. Three-quarters of the interest paid is to be characterized as acquisition indebtedness since it was used to improve the home. The rest of the interest would qualify as home-equity indebtedness since it did not exceed $100,000. However, that interest would be added back in determining your AMT.

In addition, if you borrowed $450,000 in example two and bought a fancy sports car with the extra $50,000, then only 100,000/150,000, or two-thirds of the home-equity indebtedness would have been deductible for ordinary tax purposes. IRS Publication 936 contains all of the details related to mortgage interest deductibility.